Mohnish Pabrai's Interview with Knowledge Inside on August 19, 2026 – Episode 2

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Interviewer: Mohnish Pabrai built a billion-dollar investment business by copying principles that already worked. I traveled to Texas to learn firsthand how one of the world's best investors thinks about money, work, and life.

Mohnish, welcome back to the show. Jensen Huang once said, "The immigrant spirit and the entrepreneurial spirit are very similar." You also came to the U.S. from India, and you built your career here from scratch. Would you say being an immigrant helped prepare you or help you in some way? Do you agree with Jensen's statement?

Mohnish: I remember when I came to this country in 1983, I landed in New York City. At that time, New York had high crime and was dirty. It has transformed now. Despite that, I was blown away and so happy to be here.

When I went to school, I thought there was no place like the U.S. When I moved to California, and even now that I have moved to Austin, I feel that in California and Texas, everyone conspires to help you. When I was in California, as an entrepreneur, I felt that all of the U.S. is like that, but California was much more open, and I definitely feel Texas is open that way. People want to see people do well, which is wonderful.

Interviewer: I want to go back to when you reached your first $1 million in assets. What changed most from that stage, and then what surprisingly stayed the same?

Mohnish: I had started my business on credit cards in '92. In '94, we had a sale of a small part of the business. After taxes and everything, I was left with $1 million from that sale. It was the first time I had money in the bank. The company was growing so fast that we were constantly reinvesting. The company did not need the million. I had an extra million. At that time, a million felt like an infinite amount of money. It felt like a lot.

I had just started to study Warren Buffett. I had accidentally heard of him in '94. I decided in late '94, early '95, that I was going to take this $1 million and put it into the equity markets to try to invest like Buffett. I had understood by then the power of compounding. I said, "Okay, if we are able to do a high rate of compounding like 20 or 25% a year, which I did not even realize then how hard that would be,

then over 30 years, the million becomes a billion. Wow, that is awesome." It was passive investing on the side. That sale of the business or partial sale allowed me to start experimenting with Buffett's style of investing. Eventually, that led me to changing my career and everything.

Interviewer: So, it was a huge catalyst for you?

Mohnish: It was. You do not realize things at the time, but yes, it completely changed my life.

Interviewer: What stayed the same?

Mohnish: Most things do not change. We, as humans, are creatures of habit. Between our genetics and who we are as people, it is hard-coded at the age of 5. We do not change between the ages of 5 and 95.

I had a natural experiment with that because when I grew up, there was no social media, no Facebook or anything else. I moved to many different schools, and then I came to the U.S. Once Facebook came online, I got reconnected with people I went to elementary school and college with.

Recently in Delhi, I met a guy who was in high school with me. We met when we were 61 years old. The last time we had any interaction was when we were 16 years old, and neither of us even felt that three months had passed between the two meetings. I knew him, and he was the same. He felt I was the same. The good thing about humans is that once you figure them out, they are not changing on you. They are who they are.

Interviewer: You said before that even someone starting with very little can build real wealth over time through compounding. If I were to say, "Well, that is easy to say when you are already rich," how would you respond?

Mohnish: When I first began my career, I was an engineer and my starting salary in 1986 was $31,000, plus some small bonus and whatever else. My company had a 401(k), which is a retirement plan. I joined the 401(k), which allowed me to put away 15% of my income pre-tax, and the company matched the first 2%, so 17% was being saved. I calculated that in the first year, I would put in around $4500 and then they would add around $600 to it. That means around $5000 gets saved. But I calculated that if I did that every year and over time my income went up, even slowly, and you keep making 8 or 9% a year on that money in the S&P, it becomes a spectacular sum because there is something known as the Rule of 72.

It is a good mental hack to tell us how long money takes to double. For example, if I am getting a 9% return, I can do 72 divided by 9, which gives me 8. That means at a 9% return, the money will double in 8 years. Let us say I am 22 years old and I save $5000 a year. At the age of 30, ignoring all the future savings, that $5,000 becomes $10,000. At the age of 38, it would become $20,000; at the age of 46, it becomes $40,000; at the age of 54, it becomes $80,000; at the age of 62, it becomes $160,000; and at the age of 70, it becomes

$320,000. That is only the savings from one time at the age of 22. Then you put away the 17% at the age of 23. Your income might be 33 or $34,000, and then at 24 and 25, you add to that.

I had no plans to ever start a business, but I did the calculations and realized that if you did this, at the age of 65 or 70, you would have too much money without having done much. You would not have sacrificed much because 15% savings pre-tax is like 10% after tax. It is not much. You are not giving up much.

Interviewer: You do not have to be rich to begin with to acquire?

Mohnish: No. The important thing is to be consistent. You do not need to chase the next shiny object. Put it in a boring Berkshire Hathaway index fund and keep your boring job. Everything is fine.

Interviewer: If those people who are 9-to-5 workers, with the boring job, as you just called it, want to change their lives, what is the first thing they need to give up or start doing differently in your view?

Mohnish: The first most important thing is that you have to make sure you are spending less than you are earning. Spending less than you earn is easy because you do it pre-tax, in a tax-deferred vehicle like a 401(k) or an IRA, and most companies are matching what you are saving. You do not even see the money. It is taken out before your paycheck gets to you.

That is the easiest way to do it and let that money build. What people do is when they quit their job, they take that money and go to Hawaii. That is terrible. Munger says, "Do not interrupt compounding unnecessarily." When I sold Ferrari, that was interrupting compounding unnecessarily. Going to Hawaii with your 401(k) money, that is interrupting.

Interviewer: You mentioned that you did not plan to start your own business? How did that happen? How did you make that choice to take a leap?

Mohnish: My father was the quintessential entrepreneur. He had started, grown, and bankrupted at least 10 different businesses in 10 different industries over his career.

He was extremely good at identifying what I would call offering gaps. He would observe that such and such business does not exist, but if it did exist, it would do well. Most of the time, he was absolutely right about it. He also had the ability to go into brand-new businesses, in brand-new industries, which he had no experience with. He was good at figuring things out on the fly. He would come up with ideas and start these businesses with almost no capital. But when the business started doing well, he would be aggressive with leverage to try to grow as fast as possible. That is the opposite of IKEA.

Interviewer: And opposite of your philosophy.

Mohnish: My philosophy came from observing. In fact, I saw repeatedly that my father was good at coming up with the idea, good at finding great people, and getting the business going. But, like Rick Guerin, he was aggressive and wanted to grow fast. When you are trying to grow

fast, when the first storm comes, you do not have staying power. At that time, there was no venture capital industry in India, and the banks were difficult, so you are not going to get bailed out if you cannot take care of your situation. That is the end of the business. I repeatedly saw him go to zero and start over.

When I finished college, my plan was that I did not need volatility. I said, "I have a good engineering degree and a good job. I can probably easily see I will be employed for my whole career, and I will do fine. I save a little bit of money every year, and I am done."

My dad was visiting me, and I had been working for about five years. He told me, "It is time to quit. All the work you are doing is great, but the company is so big that you will never get the direct rewards of what you are doing." I told him, "Have you forgotten my childhood? Have you forgotten all the volatility? I do not want all that." He said, "It is a fun life. We have to live life fully." He had no regrets. But he said, "On the path you are on, you are not exercising your dreams." While I was brushing him aside, I was also feeling some frustration with the company because as it got bigger, my role was getting more constrained.

After the age of 11 or 12, my father would ask my brother and me in the evenings many times, when the business was in trouble, "How do we stay alive for one more day?"

Interviewer: He asked you that when you were 11?

Mohnish: Yes. My brother and I were like his board of directors. The three of us would huddle at night to try to figure out how we keep this business alive for one more day, because everything was caving in. Somehow, we kept it alive for one more day. The next night, again, we discussed how to keep it alive for one more day.

When I was about 15 or 16, I used to go on sales calls with him. I do not know why he took me, but it was great. I did not even realize it, but when I was about 18 or 19, I had finished many MBAs.

Interviewer: Yes, real life.

Mohnish: Better than Harvard Business School. I learned what they do not teach you at Harvard Business School.

When I was looking at starting a business, I had seen my father so many times start a business with no money. He used to say, "You could put me naked on a rock, and I will start a business. I do not need anything." I had seen him do it repeatedly. I thought, "To start a business, we do not need money." I understood how to look for offering gaps because I had seen all that. I had seen him do it repeatedly.

I came up with a business idea for an IT services company in an emerging, new area, and it worked. We used Visa and MasterCard as venture capitalists. They took no board seats. It was great. They did not tell me what to do. They were passive. As long as I made the minimum payments, they were passive, and we got going. I had $30,000 in my 401(k). I emptied it, and I took on about $70,000 in

credit card debt. In a couple of years, that was all paid off. Then, we were off to the races.

Interviewer: You disrupted compounding, but for good reason.

Mohnish: What I thought was, "Let us say the business fails because I had seen so much business failure. Let us also say the 401(k) is gone, and there is the credit card debt." When I had resigned from my job, my boss and his boss had told me, "When your business fails, please come back. We will give you more money and a promotion." They did not say "if it fails." I thought, "This is better than what I thought." Because I thought that if my business failed, in about 3 months, I would find a job. But now I was in a situation where in 2 days I would have a job.

Interviewer: If the opportunity cost was gone.

Mohnish: Opportunity cost went even lower. I said, "Okay, this is good. They are willing to take me back, higher pay." I was 25 at the time. I said, "Okay, it is not a tragedy if the 401(k) is gone at 25." The $30,000 is gone. Then I researched U.S. personal bankruptcy law at that time, and the $70,000 debt would have been wiped out. All I had to do was find an attorney, give them about $5000 and they would have cleaned that out because I had no assets. I said, "I have a moonshot with no downside because I will have my job back and start getting back to the 401(k). I am still single, no wife and kids yet." That was easy. I felt that it was a pretty much risk-free venture. One of the things that people do not understand is that entrepreneurs do not take risks. People think entrepreneurs take a lot of risk. They do everything in their power to minimize risk. What I did in my case was run my business and keep my job simultaneously for nine months. I was doing two things. After nine months, I had three clients. The cash flows exceeded what my job was paying me.

That is when I quit. When I quit, I still had cash coming in, which was more than my salary, because I ran a parallel track for nine months. It was crazy, about 80 hours a week for nine months, but I was still back to 80 hours a week, but doing it 100% for myself. The risk profile of that business was low because the customers were already there. It was already cash flowing, and it was doing great. It was a no-brainer.

Interviewer: You seem to me like a man of action. Has there been any time in your life when you hesitated or thought, "Oh, this is too uncertain, maybe I should rethink?"

Mohnish: I am always willing to take calculated risks. One of my heroes is Jeff Bezos. For the longest time, I did not understand Amazon because I would look at their financial statements and I would see no profit. They had been trading at 100 times trailing earnings, and the earnings were almost non-existent. What Jeff was doing is he was taking all the cash flows and reinvesting them back in the business. When you looked at net income, it looked zero or negative. He never bet the farm in the sense that he kept it within the constraints of profitability, but you could not see the profit.

Recently, I started an ETF. The ETF takes certain asset sizes before you get break-even and all that. I decided I am going to follow Jeff's playbook, which is that we are going to invest ahead of the curve, as long as we get the return, because that is what he was doing at Amazon. He was willing to invest as long as those dollars that he was investing were generating a high return. Even though externally we could not see it, he could see it.

As I said, entrepreneurs do not take risks. But they do try to mathematically maximize things. That is what I learned to do. You can be aggressive, but you are aggressive within constraints. When the opportunity is there, you have to figure out how to go for it.

Interviewer: You have spent a lot of time with Buffett and Munger, and they obviously cared about making good decisions and building wealth. Was there something else they cared about other than money that you learned from them?

Mohnish: The best things about Warren and Charlie have nothing to do with investing or money. They have everything to do with how to lead a good life. Those are the best lessons I learned from them.

I spent a lot more time with Charlie than Warren. I used to go have dinner with Charlie every three or four months at his place, and I would see how he was interacting with his grandkids, business partners, friends, daughter-in-law, and servants. To me, there were so many lessons I learned from those interactions. I was observing. Charlie was not telling me, “Do it this way or do it that way.” I was seeing how he was doing things.

Warren is in the same house that he bought in 1954. Charlie was in the same house that he built in the '60s. To me, that has been observing how they made the decisions. Warren has all these wealthy friends like Bill Gates, who has a huge house. But Warren looked at what was going to make him happy. He has one car, and he changes it every few years. He does not have any boats, yachts, or multiple homes. He is a happy guy. I learned a lot of lessons from that.

I do not like the fact that I moved so many times. I do not like to move. I hope the home I have in Austin is the home I die in. I hope I am not dying for a while and that death is 30, 40 years out, but I hope I am in the same home because that makes life simpler. Warren and Charlie could have bought much bigger, newer, fancier homes in fancier neighborhoods, but it was irrelevant to them. It had no impact on their happiness. There were a lot of good lessons I learned from them about that.

Interviewer: You mentioned Charlie, and I know you were friends. Is there something he told you when he was alive, especially about how to treat people or how to approach life, that left a particular mark on you?

Mohnish: Both Warren and Charlie believed in the equality of humanity. I always observed them interacting with people from the lowest walks

of life with the greatest respect. Even the wealthiest people were treated the same.

I would meet Charlie sometimes, and there would be a billionaire who also joined us. It made no difference to Charlie. He was always the same. Those were also good lessons. There is a poem by Rudyard Kipling that says, "Treat those two impostors the same."

Those were the ethics these guys have had. They always thought of themselves as equal to other humans. Warren always said that he happens to have a skill set to allocate capital. He says that if he lived on the African savanna when all humans were in Africa, he would have been some lion's lunch because he cannot run fast and he cannot climb trees. But he says, "Now, I can allocate capital, and no lion is chasing me, so I can do well."

He has always had the humility to understand that he happens to be in a society and system where that pays off massively and that is accidental.

Interviewer: Success means different things for different people. How do you define success?

Mohnish: Happiness is a big part of the equation. It is not a particular metric or having a certain type of house, net worth, or whatever else. My dad used to say that if you have one good wife and one good friend, that is all you need. Less is more. I value good relationships. I have a few wonderful friends, a wonderful partner, and great kids. Life is good.

Interviewer: With that standard, you are successful.

Mohnish: Yes, I do not have any complaints. On a day-to-day basis, I find I am happy.

Interviewer: I understand that you devote a significant portion of your earnings to philanthropy, in the Dakshana Foundation, alleviating poverty through education. You made money, and you chose to keep investing and to give back to the world. Why was that important to you?

Mohnish: I had industrial psychologists who looked into my brain to figure out who I was. This was 27, 28 years ago. They told me, "Mohnish, you like to play single-player games and games where you think you have an edge. Generally, they tend to be mathematical games." They are right about that. The investing side appeals to me because it is kind of a game. You study businesses, you hold them, you get returns, you can measure outcomes. It is metric-driven.

I realized that going down this path and living life with principles that I have taken from Warren and Charlie, I am going to end up with more resources than I can increase happiness by consuming. It will be detrimental to try to consume it.

Warren told me that large inheritances do more harm than good. You only have two choices. If you have excess assets, you can somehow recycle them back to society, or you can give them to your gene pool. Giving it to your gene pool beyond a certain point is a negative. I

thought, “Okay, I am going to recycle back to society.” But if I was going to recycle back to society, I wanted to do it well, like I wanted to do investing well. I wanted to try to apply the same principles, which is that when we give a dollar back to society, we want the dollar to go far.

Interviewer: Compound?

Mohnish: Not compound, but we want it to have the greatest impact on the person or the cause. I saw so much poverty in India when I was growing up. I also saw that education is a big equalizer. We identify bright kids who would not have a chance, and we get them into elite institutions in India like the IITs and the medical schools, and that worked. I thought it would fail because it was such a lofty ambition. But that is the other thing that I learned from Buffett. He said, “In charity and giving back, unlike investing, we need to swing for the fences. We should be much more willing to fail because that is the only way you can move the needle.” What the Gates Foundation does is spend a lot of money on vaccine research, which has not done much so far. But if they were to come up with the malaria vaccine or a vaccine for COVID or something, it is a big deal. It is a big deal to do that because it can take care of a lot of human disease and suffering.

Dakshana has worked extremely well. We get a high return on the money we spend. I have not missed the money. It made no difference to me, so it has been great.

Interviewer: What does Dakshana mean, if I may ask?

Mohnish: Dakshana is a Sanskrit word that means to give and receive a gift. Our intent with Dakshana was that these individuals that we are helping today, if they choose to, can help others in the future. They can get a gift, and if they choose to, they can give a gift. Many of them have chosen to do that, which is great. In other words, it is “pay it forward.”

Interviewer: That is wonderful. It is a great circle. If I were 16 years old today, what would you tell me to start doing right now for my future, and what should I stop doing? This is the advice portion of the interview.

Mohnish: When I went through these industrial psychologists, I was about 35 years old, and they gave me, by doing 360 interviews and a bunch of tests, what I call my owner's manual. It explained who I was. I wish I had that owner’s manual when I was 10 or 15 years old because it would have helped me a long way.

At 16, we may or may not understand who we are and what our calling in life is. When Warren was 10 or 11, he was mathematical and interested in investing. Bill Gates started coding when he was 11 years old. These guys had clarity early.

My advice to you as a 16-year-old would be: Please try to figure out what your calling in life is. There are clues. If you try out a bunch of different gloves, you are going to find that one fits well. You can look at the different subjects you are studying, and you can see which one

is the most exciting. That is giving you a clue. You can look at different sports you are playing or different activities you are doing. Does playing the piano excite you? Does doing math problems excite you? Does giving a public speech excite you? What excites you?

If you start figuring out that certain things are exciting you, you need to go all in on that. Society does not allow us to go all in because they want us to be a jack of all trades till we get later in life. But we have to force the issue the way Warren and Bill Gates did, which is to spend a lot of time on what you like.

Interviewer: When you were a teenager, did you have an idea of the kind of person you would become?

Mohnish: I was totally clueless, so I went and studied engineering because people said computers are hot. I did not even care much. I did not understand what I wanted to do. When I was studying engineering, I enjoyed the math. I enjoyed the problem-solving. It was fine. It was not like I was allergic to it. It was okay. Later, when I heard about Warren Buffett for the first time, I started reading about him. That is when I found that I love this. That happened when I was 30 years old.

In Warren's case, it happened when he was 11 years old. It came later to me, but 30 is better than 50. It is fine. If people can figure it out earlier, it is a big advantage. It is not easy, but it is worth figuring it out. I did not even know that I should try to figure it out.

Interviewer: You were on the path without knowing, following your father.

Mohnish: With my father, I had experiences that became relevant later. At the time when they were happening, and later when I look back, I thought, “How lucky was I?” You do not even know it.

Interviewer: The dots were there. You just had to connect them.

Mohnish: Because of that time when I was a teenager, I can look at a business and crack the business model fast. It is because of the work when I was a teenager, not because of the work now.

Interviewer: That gave you a huge advantage as an investor because you have to understand the business. If you could say one thing to your teenage self, what would it be?

Mohnish: I would tell my teenage self, “Please spend the time to figure out what you are excited about.”

Interviewer: This is something that I wanted to ask you about as we were talking. If you could say something to yourself on your last day on Earth, which is going to be 100 years from now, what would you want it to be?

Mohnish: My last day on Earth is June 11th, 2054.

It is a big advantage to know when your last day is going to be. If you want to know your last day, you need to go to God Google or Gemini and say, “Hey, this is me. When am I going to die?” They are going to tell you that date. The good thing is that once you know that date, you can plan backward.

I know June 11, 2054 is my last day. In fact, it bumped up the year recently. It made it 2056. I got 2 more years. It is pretty cool. I am going to be short of my 92nd birthday. Not bad. I am already so far there that I do not think it is going to be much of an issue because, on a daily basis, I try to double-check that I am doing things that I love doing and that make me happy, and that I am not hurting people. I do not think on the last day I am going to sit there saying, "Oh, I wish this had happened, or that had happened." I wish that I had figured out some things earlier than I did.

I was too heavy Graham, too little Munger. But overall, it has been a magical life. I can nitpick about things like that.

Interviewer: You would say good job?

Mohnish: I would say well done.

Interviewer: Thank you so much. This has been such a delight!

Mohnish: Likewise. I look forward to it. It is wonderful.

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